Econ-Arena

A STRATEGY CASE COMPETITION

BLISSPOINT'26-27

Overview

You are the strategy team at Setu AI, a new Indian AI company with Rs 50 crore in the bank and no data centre of its own. Setu wants to become a trusted Indian AI company, but it competes with better-funded Indian players and global labs. Your job is to decide where it should win first, how it will sell, what it will build, and why rivals cannot simply copy it.

Fixed rules

- Rs 50 crore must last 18–24 months. Assume no further funding until you reach a milestone that you define.
- Compute may be rented, shared or subsidised, but it may not be owned.
- Pick one main industry and one launch region. A second may be added later, but you must state what triggers it.
- Use the facts in this packet. If you bring in other numbers, name the source.

Your Three Tasks

Task 1: Go-to-market and budget

- Which industry and which region do you enter first, and why that pair?
- Who is the buyer, how long is the sales cycle, and what do your first three customers look like?
- How do you reach them (direct sales, partners or self-serve), and how do you market without a big brand?
- Show how the Rs 50 crore is split across people, compute, sales, marketing, data, compliance and reserve. The total must equal Rs 50 crore.

Task 2: Product and moat

- What exactly does Setu build, and what does it buy or borrow?
- What is your moat? Name two or three advantages and say how long each takes to build.
- Which advantages are weak, and why could a bigger rival copy them within 12 months?

Task 3: Environmental strategy

- Where will compute run, what type of provider will be used, and why?
- What are the estimated energy, water, and carbon impacts over 24 months, and what are 2–3 measurable targets?
- What are the main trade-offs between cost, speed, and environmental impact?

Financial sketch (one page)

Show customers, revenue, spend and cash for four half-years, and state how many months of runway remain at the end of month 24.

Facts You May Use (as of October 2026)

These come from public reports and change quickly. Treat them as a starting point, and say so if you assume something different.

Government support

SCHEMES	WHAT IT OFFERS
IndiaAI compute portal	More than 38,000 GPUs were onboarded by March 2026 and are rented to eligible startups at roughly Rs 65–92 per GPU-hour, with up to 40% additional subsidy for approved projects. Requires DPIIT recognition; large requests go to a committee. Government target: 100,000 GPUs by December 2026. High-end GPUs cost more per hour.
IndiaAI Mission	Total outlay of about Rs 10,372 crore. Foundation-model support has already gone to 12 teams.
Startup India Fund of Funds 2.0	Rs 10,000 crore, invested only through SEBI-registered venture funds, never directly in startups.
RDI Scheme	Rs 1 lakh crore over six years of long-term, low-interest finance for deep tech. Better suited to teams that are further along than a seed stage.
Maharashtra AI Policy 2026	AI venture fund of Rs 500 crore; incubator grants of up to Rs 1 crore; 2,000 GPUs; 20% implementation subsidy for 5,000 small firms. Other states have smaller AI missions.
DPDP Act and Rules	Rules notified in November 2025; full compliance due May 2027; penalties of up to Rs 250 crore. Consent systems are needed from November 2026.
IT Rules amendment (February 2026)	New duties for "synthetically generated information", such as AI-made text, voice and images.

India has no single AI law; the rules are spread across several laws. Grants are not guaranteed income, so show them as upside only.

Regions: what is measured

Region	Data-centre capacity	AI use signal
West	Mumbai 846 MW (46% of India); Pune 182 MW	Maharashtra: 15.5% of India's Claude.ai use
South	Chennai 320 MW (18%); Hyderabad took 11% of new demand in H1 2026	Tamil Nadu 13.2%; Karnataka 12.7%
North	Delhi-NCR 191 MW (about 10%)	Delhi 10.5%
East	Small; Kolkata is a minor market	No reliable figure; Odisha has announced an AI Mission

Sources: Savills via Communications Today and Anthropic Economic Index. Claude.ai use reflects a single product, so treat it as a proxy rather than a measure of total AI use. Working out which industries dominate each region is left to you.

Industries: what is known

Banking and financial services is the most mature user of AI, though fragmented data holds it back. IT services, global capability centres and retail also have many live use cases. Telecom, media and manufacturing reached an advanced stage in Nasscom's 2024 index. Healthcare lags, with weak AI risk processes. A vendor report suggests that only 23% of firms have formal AI governance, but this is secondary data.

Players you may meet

Sarvam AI, Krutrim and Gnani.ai (all Bengaluru); BharatGen (IIT Bombay-led, open-source models); Soket AI Labs; Fractal; Tech Mahindra; Yellow.ai; Haptik; Uniphore; large IT services firms; and global AI labs. Funding figures vary by source (Inc42, Bloomberg). Research each one before you claim a gap.

What to Submit and How You Are Scored

Submit a deck of no more than 10 slides and a one-page financial sketch, then defend both in a short question round with the judges.

Criterion	Weight
Industry and region choice, backed by evidence	20
Go-to-market and how you reach paying customers	20
Budget and financials that add up and match your plan	20
Product and moat	20
Competitor analysis	15
Smart use of government support and compliance	5
Total	**100**

NOTE : **Round 1**: Submit 3 core + 2 appendix slides (3+2), giving a basic solution outline for all three case problems. Results are out on 29 October 2026.

Final Round: Shortlisted teams work on the same case problem and build a comprehensive 8 core + 3 appendix (8+3) deck.